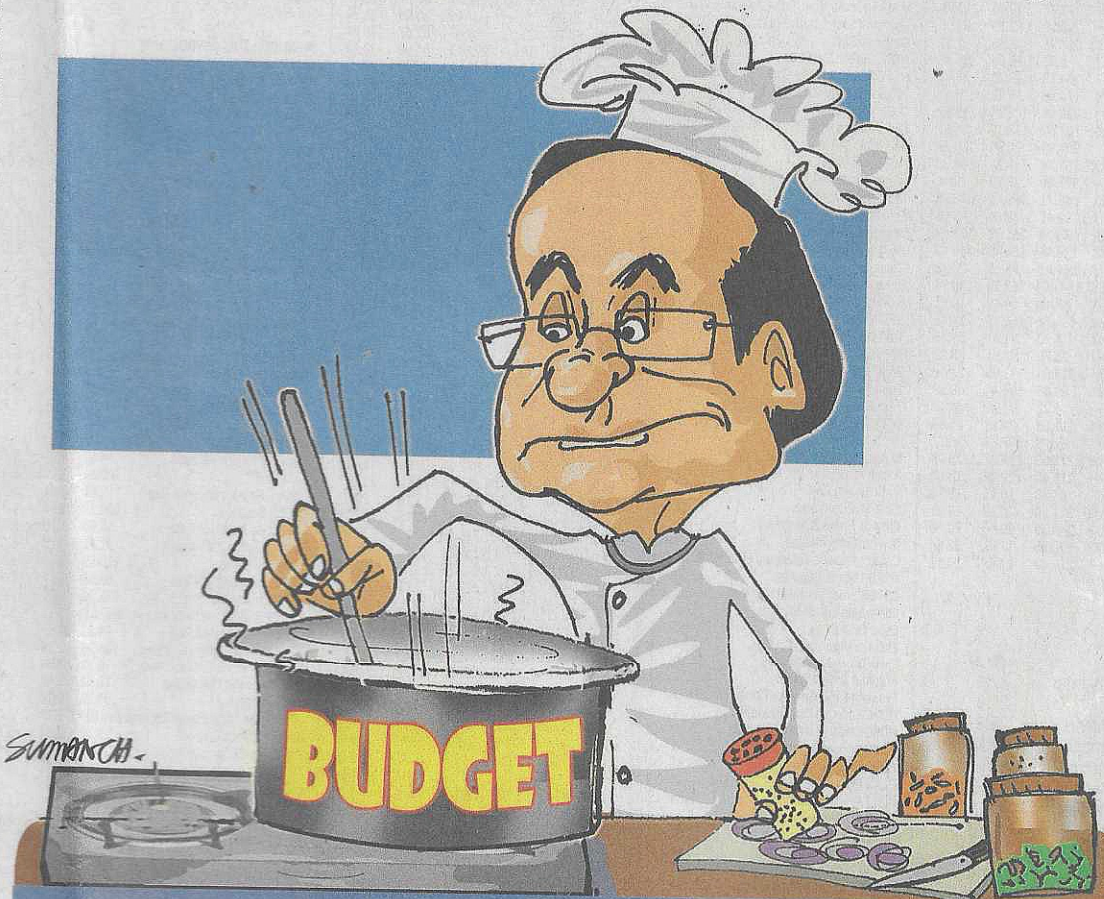


PERSONAL FINANCE

Ajay Srinivasan finds out what Arun Jaitley dished out for retail investors in the budget



What's on the menu

invest smaller sums and yet get the yields of the underlying property with some tax advantages.

Gold bonds should provide investors regular return and the option of converting a financial instrument into gold if desired.

The key will be the return — if that is attractive, those buying gold as an investment may look at bonds favourably.

We should also expect to see several tax-free bond issues in infrastructure. Depending on the rate offered, this could be a good avenue for those in the higher tax paying brackets.

Pension push

The budget provides incentives to protect oneself from the uncertainties of the future. Contributions up to Rs 50,000 under the New Pension Scheme will be exempt from tax.

This is a good route for individuals to start accumulating money for retirement. With families becoming nuclear and inflation hovering in the 5-6 per cent range, it is very essential that we set aside money for retirement. This is the only way we will be able to maintain our standard of living after retirement.

The tax benefit on health insurance has been raised to Rs 25,000, which is a step in the right direction. With the rising cost of healthcare, it is important for individuals to protect themselves through insurance.

Stocks to watch

The divestment programme announced in the budget has two important implications — one it helps the government to raise resources and two it provides investors an opportunity to acquire these shares at a discount to the market.

One can expect a large number of

equity issues with the government setting a divestment target of around Rs 70,000 crore for 2016.

Falling inflation, the fiscal push for growth and lower interest rates would ultimately boost corporate earnings. This makes equities an attractive choice for the long term.

We must not only look at the market by comparing it to its past performance but also relative to other globally since foreign capital has the choice of going to many markets.

Mood upbeat

Given the surfeit of global liquidity and the search for attractive investment options, India is well placed to attract a lot more money and this could push markets higher. Appreciation from here though would more likely come from earnings growth than multiple expansion.

Assuming a corporate earnings growth of 17-18 per cent, the Sensex can double in four years. This will offer huge opportunities across sectors.

However, the markets will be marked by volatility on account of global cues, including US interest rate outlook, eurozone debt, slowdown in China, geopolitical risks in Russia and uncertainty on account of oil.

Equity will probably be the best asset class over a 3-4 year time frame, assuming India grows as we all expect it to and inflation stays benign.

The mood is bullish on good financials and the manufacturing sector, especially cement, auto ancillary and commercial vehicles.

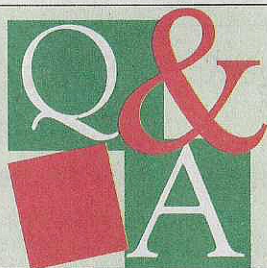
The push to infrastructure should benefit companies in the road, rail, ports, power and construction sectors.

The government has also set out the basis of a social security programme in the budget with the provisions of low-cost accident insurance, life insurance and pension.

There is a message in this to all investors: Take your financial future in your own hands and begin to provide for your financial needs.

Protect yourself first with health and life insurance. Build some wealth through assets such as equity, fixed income, gold, REITs or tax-free bonds and plan for your retirement while you are earning. It is high time Indians make their money work as hard as they do!

Calcutta Monday 9 March 2015



No relief

■ My daughter works in a private school and gets a consolidated salary of Rs 25,000 per month. There is no special transport allowance. Can she claim a sum of Rs 9,600 as transport allowance for 2014-15?

Arunava Chowdhury, via email

■ Transport allowance is granted to an employee to meet his/her expenditure for commuting between residence and place of work and is exempt from income tax. Your daughter is getting a consolidated salary of Rs 25,000 per month from the employer. So, she will not be able to claim a transport allowance of Rs 9,600 per annum.

Medical expense

■ I am 64-years-old and have undergone an eye surgery, which cost Rs 26,000. I have no medical insurance. Is there any deduction available from my income, which consists of pension and interest income from bank and post office, to cover for the expenditure?

Subir Kumar Pal, Calcutta

■ Under section 80DDB, a deduction of up to Rs 60,000 is available to senior citizens for the treatment of specified diseases (neurological diseases, malignant cancer, haematological disorders etc) under rule 11DD(1) of the income tax act. However, the cost of eye surgery is not eligible for deduction.

Senior query

■ I am a retired senior citizen with pension income and interest from fixed deposit. I was a member of a cooperative society, holding 1/8th of a share. My investment is Rs 64,544. The land was handed over to me in 2003 and I have sold my share for Rs 10,00,000. What will be my capital gains and how can the tax be avoided? I have also invested in NSS 1987 and want to close the account. Do I have to pay tax on the amount?

S. K. Saha, Calcutta

■ The cost inflation index for 2003-04 is 463 and that of 2014-15 is 1024. The indexed cost of acquisition in 2003 was Rs 1,42,750 (64544 x 1024/463). Long-term capital gain on the sale of land is Rs 8,57,250 (Rs 10,00,000-Rs 1,42,750). If the amount is invested within six months in REC capital gains bonds under section 54EC, there will not be capital gains tax. The income from NSS 1987 is taxable and has to be included in the gross total income.

If you have any queries about investing or taxes or a high-cost purchase you are planning, mail to: btgraph@abp.in, or write to: Business Telegraph, 6 Prafulla Sarkar Street, Calcutta 700 001.

PERSONAL

Ajay Srinivasan finished out for retail

The Union budget is a statement of the government's finances, but this time the expectations were high as this was the first full budget of the new government. The government used the space created by falling oil prices and some increase in taxes to create a fiscal stimulus aimed at getting India back on the growth trajectory it desires.

Now, what does the budget mean for the retail investor? Soon after the budget, the RBI cut the repo rate, given the fall in inflation locally and interest rates globally. We should expect another 75-100 basis-point fall in interest rates in the next financial year.

Fixed on FDs

The fall in interest rates will boost demand for both fixed-income products and equities.

Fixed deposits have fixed rates and do not offer the benefit of capital appreciation that a typical fixed-return bond or a debt mutual fund gives. Open-ended debt mutual funds capture the favourable interest rate movements by way of higher returns.

The more the duration of a portfolio, the greater the returns when interest rates fall. Investors looking to benefit from falling interest rates should look at fixed-income funds with a portfolio duration of at least 5 years. Those wanting to play a bit safer can look at medium-term funds, which have a slightly lower duration. Another way to gain from falling interest rates and rising equity markets is through balanced funds or the more conservative monthly income plans.

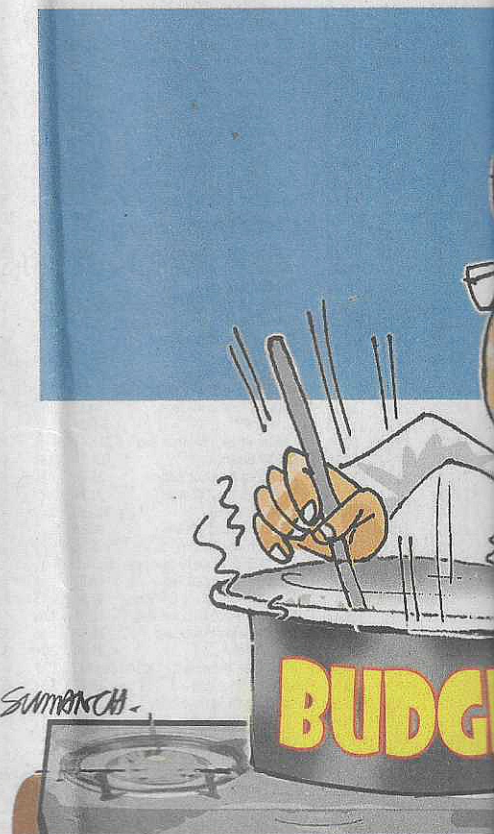
The surcharge on dividend distribution tax has been hiked by 2 per cent. This means investors should prefer the growth schemes of mutual funds over the dividend schemes.

New options

Retail investors have a few interesting investment options after the budget proposals. One can expect the launch of Real Estate Investment Trusts (REITs) and gold bonds that will see money move from physical to financial assets.

Investors in REITs will be able to

● Srinivasan is CEO, financial services, Aditya Birla Group



What's on

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Pension

The budget protects one of the key features of the pension scheme — the tax exemption on the first Rs 50,000 of the pension.

This is a good move as it allows pensioners to start their retirement with a tax-free income. This is a move that we should be able to maintain after the pension scheme is fully implemented.